BWXT · FY2025 Q4

EARNINGS CALL

2026-05-04

BWX Technologies, Inc. · 66 turns · 15 participants

CAST (IN ORDER OF APPEARANCE)

Desiree
Operator

Chase Jacobson
Vice President of Investor Relations

Rex Jevedin
President and CEO

Rex Jevedin
President and CEO

Mike Fitzgerald
Senior Vice President and CFO

Andrew Madrid
Analyst, BTIG

Chad Derzheimer
Analyst, William Lear

Jeff Grampy
Analyst, Northland Securities

Jeffrey Campbell
Analyst, Seaport Research Partners

Jen Engelbrecht
Analyst, Beard Research

Matt Akers
Analyst, BNP Paribas

Robert Labick
Analyst, CJS Securities

Sam Strasaker
Analyst, Rui Securities

Scott Duchelle
Analyst, Deutsche Bank

Unknown Participant
Q&A Participant

DESIREE Operator

Ladies and gentlemen, welcome to BWX Technologies' fourth quarter and full year 2025 earnings conference call. At this time, all participants are in a listen-only mode. Following the company's prepared remarks, we will conduct a question and answer session, and instructions will be given at that time. I would now like to turn the call over to our host, Chase Jacobson, BWXT's Vice President of Investor Relations. Please go ahead.

CHASE JACOBSON Vice President of Investor Relations

Thank you, Operator. Good evening, and welcome to today's call. Joining me are Rex Jevedin, President and CEO, and Mike Fitzgerald, Senior Vice President and CFO. On today's call, we will reference the fourth quarter and full year 2025 earnings presentation that is available on the investor section of the BWST website. We will also discuss certain matters that constitute forward-looking statements. These statements involve risks and uncertainties, including those described in the State Harbor provision found in the investor materials and the company's SEC filings. We will frequently discuss non-GAAP financial measures, which are reconciled to GAAP measures in the appendix of the earnings presentation that can be found on the investor section of the BWFC website. I would now like to turn the call over to Rex.

REX JEVEDIN President and CEO

Thank you, Chase, and good evening to all of you.

REX JEVEDIN President and CEO

We closed out of record 2025 with another strong quarter of results that were ahead of our expectations. For the full year, revenue grew 18%, adjusted EBITDA grew 15%, earnings per share grew 20%, and free cash flow grew 16%, all exceeding the initial guidance we provided at the start of the year. These results reflect our ability to scale successfully in a context of robust demand in all of our nuclear end markets. We ended the year with backlog of $7.3 billion, up 15% year over year, with meaningful growth in both segments. In government, we secured new pricing agreements for naval propulsion equipment and fuel and booked initial scopes on major awards to build out a U.S. defense uranium enrichment capability and to expand production of high-furity depleted uranium. And commercial backlog was boosted by can-do life extensions, multiple SMR projects, and our first engineering contract on an AFE-1000. Beyond financial performance, 2025 was a year of exceptional strategic success. We completed the acquisitions of AOT and Kinetrix, enabling key wins such as the $1.6 billion high-purity depleted uranium contract and the owner's engineer role for Bulgaria's Khosla Dui AP1000 project. Building on the significant capital we invested in our business earlier in the decade, we continue to invest in our facilities to support our customers and build capacity for future demand. In 2025, we held the grand opening for the BWST Innovation Campus, the home of our advanced nuclear and micro-reactor businesses, and continued the expansion project at our large nuclear component plant in Cambridge. We recently completed construction of the centrifuge manufacturing development facility and are designing a new high-furity depleted uranium manufacturing facility both to support the MNSA. And earlier this month, we opened the BWXT Digital Center in Melbourne, Florida, which is our hub for digital transformation and AI initiatives across the organization, turning to segment results and market outlook. Government operations revenue was down 1%, and adjusted EBITDA was down 5% in the quarter, slightly ahead of our expectations. Enable propulsion, With two new pricing agreements in place, our teams are focused on long-league materials, operational excellence, and delivery. During the quarter, we shipped two large team generators for CVN-81, a Ford-class aircraft carrier from our Mount Vernon, Indiana facility, highlighting our rhythm delivery for naval reactors. The Mount Vernon facility sits on the Ohio River and has a 1,000 metric ton crane capacity. suitable for lifting the largest nuclear reactor components onto barges directly from the site. Accordingly, we are considering extension there to supply the U.S. commercial nuclear market. And Tactical Services, a team led by BWST, including Conetrix, assumed the management and operations contract for the Canadian Nuclear Laboratories, our first international TSG project. We are tracking several other contract opportunities within the DOE complex, as well as in a new domain. In fact, BWXT was an awardee on the Missile Defense Agency's 151 billion shield contract, or Golden Dome, which positions us to compete for infrastructure support and engineering and manufacturing technology development on this strategically important national security program. In micro-reactor and advanced nuclear fuels, We delivered the first core of triso fuel for Project Pele to Idaho National Lab in November. We are also manufacturing triso for Hontares, which aims to achieve reactor criticality by July 4th of this year, in line with the administration's nuclear executive orders. While others are planning to produce and manufacture advanced nuclear fuel, we are delivering today. Further, in space domain, we continue to develop the technology required for nuclear thermal propulsion with NASA and are seeing specific opportunities around fission surface power. Lastly, as special materials, our team set up the centrifuge manufacturing development facility in just seven months for the defense fuels program within NSA, reestablishing a domestic uranium enrichment capability for national security purposes. We are also preparing for the construction of a new facility in Jonesboro, Tennessee, for high-purity depleted uranium production. These programs support our robust revenue growth outlook in 2026, and are highly strategic for the future of our special materials portfolio. Turning now to commercial operations, we reported impressive organic revenue growth of 31% in the quarter and total revenue growth of 95%. strong growth in commercial nuclear power in medical and sales from connectors. Backlog into 2025 at $1.7 billion, up 85% compared to last year and up 60% sequentially, driven by equipment for can-do refurbishments in Canada and other international markets and design awards for SMR components to various reactor OEMs. This backlog, coupled with robust market demand, supports our expectations for low double-digit organic revenue growth in the segment in 2026. BWFC Medical reached a milestone in more than $100 million of annual revenue, up about 20% from last year, with double-digit growth in diagnostic isotopes, a meaningful increase in actinium sales, and steady growth in Terrasphere. We expect similar growth in 2026 as these factors continue to drive the business. We continue to make measured investments in our medical portfolio as we work through the industrialization of our Tech 99 products, explore new modalities for producing actinium-225, and around other therapeutic isotopes, such as lead-212. Turning now to commercial nuclear power, demand is strong, and our opportunity strength is expanded. Commercial nuclear power booked a bill that was over two and a quarter. OJU can do aftermarket services and components in Canada, Europe, and Asia, a new long-term can-do fuel contract, and design and proponent manufacturing contracts with several SMR technology providers, underscoring our role as a supermerchant supplier for critical nuclear technologies. Additionally, in December, a consortium of BWST-Lawrence's energy partners and its subsidiary, Canadian Nuclear Partners, was selected to provide owner's engineer services for two proposed AP-1000 nuclear reactors at the Kozlovuy site in Bulgaria. This is BWST's first meaningful AP-1000 award, leveraging our large nuclear project experience and connectivity depth in licensing, regulatory support, and engineering. We are actively bidding component packages for multiple 8,000 projects and expect additional awards this year. With that, I will now turn the call over to Mike.

MIKE FITZGERALD Senior Vice President and CFO

Thanks, Rex, and good evening, everyone. I'll begin with total company financial highlights on slide four of the earnings presentation. Fourth quarter revenue was $886 million, up 19% year-over-year, as strong growth in commercial operations was partially offset by a modest and expected decline in government operations. Organic revenue was up 4%. Adjusted EBITDA was $148 million, up 13% year-over-year, attributable to robust double-digit growth in commercial operations and lower corporate expense, which were partially offset by lower government operations. Adjusted earnings per share were $1.08, up 17%, due to strong operating performance and a higher contribution from non-operating items of approximately 5 cents. Our adjusted effective tax rate in the quarter was 19.5%, which was below our full-year tax rate of 20.4%, due to timing of R&D tax credits. In 2026, we expect our tax rate to be slightly higher, at approximately 22%, as growth in our commercial power and connected businesses will result in a greater percentage of international earnings. Fourth quarter free cash flow was $57 million, and full year free cash flow was $295 million, up 16% compared to last year, inclusive of 17% operating cash flow growth. Capital expenditures in 2025 were $185 million, 5.8% of sales. In 2026, we expect CapEx to be about 6% of sales as we continue to invest in the business, to meet our commitments with our government customers, and to support the growing demand in our commercial markets. During the quarter, we also completed a $1.25 billion convertible debt offering with a 0% coupon. In connection with the offering, we entered into a cap call transaction, which essentially increased the conversion price to over $396. Funds from the transaction were used to repay balances on our credit facility and term loan, which we in turn renegotiated with more favorable terms and increased capacity. This was a highly opportunistic transaction for BWXT. We reduced our cost of debt, lowered our interest expense, enhanced our financial flexibility, and increased our liquidity, which stood at $1.7 billion at the end of the year. Moving to the segment results on slide six. In government operations, fourth quarter revenue was down 1% as expected, with growth in special materials and contribution from AOT being offset by lower microreactor volumes and long lead material procurement for naval propulsion equipment, the latter of which was a benefit to our results in the first three quarters of the year. Adjusted EBITDA in the segment was $111 million, resulting in an adjusted EBITDA margin of 18.8%. Our quarterly adjusted EBITDA margin was slightly lower than the full year result of 20.4% due to mix as newer projects in the segment began to ramp. Turning to commercial operations, Revenue was up a robust 95%, driven by 31% organic growth, with strong growth in both commercial power and medical, and contribution from Conetrix. This reflects both accelerating organic momentum and the strategic expansion of our commercial capabilities. Adjusted EBITDA in the segment was $44 million, up 87% from last year. Adjusted EBITDA margin was 14.9%, a notable improvement from last quarter. In 2026, we expect the commercial operations segment adjusted EBITDA margin to increase by roughly 100 basis points, as higher revenue and more normalized mix is partially offset by continued growth investment as we scale the business for the future. Beyond 2026, we expect growth investment to be less of a margin headwind, as continued investments are offset by additional revenue growth. Turning to our 2020 fixed guidance on slide 10 and 11 of the earnings presentation. From an operational standpoint, our guidance is largely in line with the preliminary outlook we provided in November. We expect revenue of approximately $3.75 billion, up high teens compared to 2025. In government operations, we expect approximately low to mid-teens growth, with over half coming from the defense fuels and HPDU contracts. In commercial operations, we expect approximately 25% growth, driven by low double-digit growth in commercial power, high-teens medical growth, and a full year of contribution from Conetrix. For adjusted EBITDA, we are guiding $645 million to $660 million up low to mid-teens compared to 2025. In government operations, we expect margin to be slightly lower given the significant revenue contribution from new programs, which begins at a lower initial profit recognition and expands over time as execution milestones are met and contract risk is reduced. In commercial operations, we expect margin to trend back toward historical levels, as I previously discussed. Regarding the cadence of operating earnings, we anticipate our results will be slightly more back half-weighted than usual, with about 55% of full-year EBITDA anticipated in the second half. This will largely be reflected in first quarter results, with a return to more normal seasonality in second quarter. In the first quarter, while we expect solid year-over-year organic revenue growth, EBITDA is likely to be flat to slightly higher in both segments due to seasonality short-term impacts of mix, and ramping of new programs. In government operations, this will likely translate to first-quarter EBITDA being roughly flat year over year, yielding a margin that is slightly below the full-year guidance rate. And in commercial operations, margins are expected to start the year well below our full-year guidance before improving sequentially each quarter throughout the remainder of the year, reflecting program timing and mix. These assumptions lead to non-GAAP earnings per share guidance of $4.55 to $4.70, up mid to high teens, driven largely by growth in both segments, with a modest contribution from non-operational items, as lower interest expense is partially offset by a slightly higher tax rate and share count, and lower pension and other income. From a quarterly perspective, While we anticipate earnings per share to follow a similar pattern to our operating earnings, with first quarter EPS relatively flat compared to last year, we are highly confident in delivering our full year earnings growth outlook. Finally, we expect free cash flow of $305 million to $320 million, inclusive of low to mid-teens operating cash flow growth, in line with our adjusted EBITDA growth outlook. Importantly, This level of cash generation supports both continued reinvestment and long-term shareholder value creation. Overall, we see 2026 as another year of meaningful operational growth for BWXD. We've strengthened our balance sheet, expanded our commercial platform, and positioned the company for continued margin improvement and cash generation. Our focus remains on disciplined execution, prudent investment, and long-term shareholder value creation.

REX JEVEDIN President and CEO

With that, I will turn it back to Rex for closing remarks. Thanks, Mike.

REX JEVEDIN President and CEO

2025 was a monumental year for BWXT. We sat at the intersection of the national security and commercial nuclear power markets in a market-leading position with unmatched scale, experiential qualifications, and regulatory credentials. It's an exciting place to be, and the outlook is bright. This position demands that we execute to drive quality earnings growth at shareholder value. Our priorities are executing against our robust backlog, process optimization, new technology adoption throughout the organization, and on discipline growth investments, both organic and inorganic.

REX JEVEDIN President and CEO

And with that, we look forward to taking your questions.

DESIREE Operator

Thank you. We will now begin the question and answer session. If you have dialed in and would like to ask a question, please press star 1 on your telephone keypad to raise your hand and join the queue. If you would like to withdraw a question, simply press star 1 again. If you are called upon to ask your question and are listening via speakerphone in your device, please pick up your handset to ensure that your phone is not mute when asking your question. Again, press star 1 to join the queue. We do request for today's session that you please limit to one question and one follow-up question only.

UNKNOWN PARTICIPANT Q&A Participant

Thank you.

DESIREE Operator

Our first question comes from the line of Scott Duchelle with Deutsche Bank. Your line is open.

SCOTT DUCHELLE Analyst, Deutsche Bank

Hi, good evening. Mike, should we expect government operations margins to trough in 2026 on these mixed headwinds, or could there be incremental mixed pressure in 2027 that we should be mindful of?

MIKE FITZGERALD Senior Vice President and CFO

Thanks, guys. No, I don't see any real incremental pressure as we look at 2027. I think as I've mentioned in the last call and maybe over the last couple of earnings calls, we feel really good about the current pricing agreement. If you look at our core naval propulsion business, we're actually performing really well. Efficiency and utilization are up at our best sites and our largest sites. And so we see a lot of opportunity as we move through the future. I think what you're seeing in 2026, is a little bit of this mixed pressure. As we discussed, half of the growth is coming from these new programs where we're making infrastructure investments. And so you're seeing a little bit of a decline there, but we would expect a rebound in 27.

SCOTT DUCHELLE Analyst, Deutsche Bank

Okay. And then Rex, can you talk about how BWXT is using AI internally today? And then are there any business functions where you're particularly excited about the potential impact of AI over the medium term, whether that be from cost synergy opportunity or something else. Thank you.

REX JEVEDIN President and CEO

Yeah, sure, Scott. I think, thanks for the question. I think there's an outside story for AI with BWXT, and there's an inside story. I think you obviously know the outside story, which is there's an expectation that nuclear power will power the data centers of the future, and I think that's a reasonable expectation, but that's all in the windshield for us. Certainly, that's not part of the current business mix. The inside story shapes up like this. I think there are I think of it in kind of three phases. The first phase was BWXT using machine learning to improve certain internal functions, particularly manufacturing processes. We, for example, put hyperspectral sensors on complex weld processes and used a machine learning algorithm to figure out when those things were going out of spec, which saved us a ton of expensive rework. And we did it, and there are other examples I can cite. So I call that phase one. Phase two is You know, with the release of large language models, we're figuring out ways to use those in our business to improve functional efficiencies and the like. And so in this phase of it, we're basically democratizing access to the tools. And I mean tools like Databricks and ChatGBT and the like. And then the third phase is going to be factory automation.

That's kind of our burning platform in the sense that we've got a lot of traditional plants that need to be automated and digitized. And so in the future, it's our expectation to have fully digitized quality records, automated inspection, digital twin representations of every component that we manufacture. So that's the phase that we're going into right now, and we're quite excited about that.

SCOTT DUCHELLE Analyst, Deutsche Bank

That's really interesting. For phase three, do you see any limitations from the security clearances required, things like that, that would prohibit your ability to deploy those types of systems, particularly for government operations? Or do you think you would have the the ability to use things like digital twins and, you know, some of those classified areas as well?

REX JEVEDIN President and CEO

I'd say not much, Scott. I mean, certainly we have to be concerned about using Wi-Fi and Bluetooth kind of systems in a classified manufacturing environment. So there are things that we will have to work around, but I think we will work around them with support from our customers.

REX JEVEDIN President and CEO

Okay. Thank you. Thank you.

DESIREE Operator

Our next question comes from the line of Matt Akers with BNP Paribas. Your line is open.

MATT AKERS Analyst, BNP Paribas

Hey, guys. Good afternoon. Thanks for taking my question. I wanted to ask, I think some of the commentary from the shipbuilder this quarter was relatively positive in terms of just some of the supply chain bottlenecks they had seen maybe starting to get a little better. Just curious if you're seeing... Any of that flow through to you in terms of maybe more pulling demand forward or anything like that, or if you're seeing anything along those lines?

REX JEVEDIN President and CEO

Yeah, we've seen that encouraging news, too. I'd say our reaction to it is that from the very beginning, I think we've held the view, and I believe that the Navy and the government held the view that instead of slowing down the supply chain, what you've got to do is fix the bottleneck. And so I think we're seeing that now. I think we're seeing pretty encouraging progress at the shipyards. I think you'll know, and we announced this a couple of quarters ago at least, that Admiral McCoy, who'd been running our government operations business, was seconded into the Department of Defense to support the Navy for that specific purpose, the express purpose of improving throughput at the shipyards. And that's certainly what the nation needs to do. That's what the Navy needs to have. So I'd say we're continuing at the pace we were. you know, delivering on our delivery schedules and very, very, very pleased to see the shipyards turning the corner and bouncing off the bottom in terms of delivery rate.

MATT AKERS Analyst, BNP Paribas

Yeah, thanks. And I guess as a follow-up, I wanted to ask on capital deployment and sort of what your priorities now and how big could M&A be as a part of that after AOT and Connectrix?

REX JEVEDIN President and CEO

Yeah.

MIKE FITZGERALD Senior Vice President and CFO

So we're, look, we're really excited about some of the things that we've done to strengthen our balance sheet. You know, we did the convertible in the fourth quarter, I think, which really gave us a lot of flexibility. And so we feel well positioned for, you know, potential M&A as we come into 2026. You know, I will say as we look at a number of different targets that are out there, you know, we're highly focused on continuing to drive something within our core and and also very highly focused on driving an increase in our overall capacity as we prepare to support our customer needs in the future. So those are the things that we're going to be looking for. We have a number of assets that we always look at on a consistent basis, but I do think that we will continue to see M&A as a big part of our capital deployment strategy.

REX JEVEDIN President and CEO

Great. Thank you.

DESIREE Operator

Next question comes from the line of Jeffrey Campbell with Seaport Research Partners. Your line is open.

JEFFREY CAMPBELL Analyst, Seaport Research Partners

Congratulations on the quarter, and thanks for taking my question. I'll just stick with one. Rex, you mentioned your US commercial facility might be built at Mount Vernon. I just wondered, are there any particular challenges in siting a commercial facility adjacent to one that's dedicated to defense purposes? Thanks.

REX JEVEDIN President and CEO

Yeah, thanks, Jeff, for the question. Good to hear you. No, I think it's the opposite, right? There's some synergies between our government business there and, you know, the would-be commercial facility there. For example, you share radiography facilities. I did mention that we have a thousand metric ton crane capacity to stevedore proponents right onto the Ohio River there. So we would certainly jointly share those assets and be able to amortize the cost over those assets together. So I think there are certain advantages. We would segregate those businesses for certain reasons financially. But, yeah, no, very good reasons and very good synergies for putting those two things on the same side.

REX JEVEDIN President and CEO

Great. Thank you. Thank you.

DESIREE Operator

Next question comes from the line of Robert Labick with CJS Securities. Your line is open.

ROBERT LABICK Analyst, CJS Securities

Hi, this is Willen for Bob. As a U.S. company with obviously strong operations in Canada, what is the latest impact, if any, on the tariff situation? And in general, does the seemingly souring of U.S.-Canada relations have an impact on BWX?

REX JEVEDIN President and CEO

You know, knock on wood, it hasn't so far because we're still operating under the framework of the U.S.-MCA trade agreement, the U.S.-Mexico-Canada framework. trade agreement that was struck in the last Trump administration. And so there are no tariffs in that framework on medical products or on nuclear components, happily. And this last announcement around 10% and then 15% tariffs across the board does not apply to the USMCA agreement. So we're still operating in that framework. And that's being renegotiated right now. So we'll see how that comes out. But I'm certainly hopeful that trade relations between the U.S. and Canada and Mexico remain normal and continue to not have a negative influence on our business.

ROBERT LABICK Analyst, CJS Securities

Thank you. And one more. As we look over the next several years, we have DEUCE and HBDU incremental growth this year and naval growth coming in 2027. Beyond that, can you discuss the timing of SMRs, Canadian new builds, microreactors, and other long-term layers to your growth map.

REX JEVEDIN President and CEO

Yeah, I'd say, you know, a variety of different timeframes for all of that stuff. And then we mentioned on the script that we now have business with AP1000 in Europe with that causal duty owner's engineer contracts. We certainly have an SMR. We have SMR contracts at hand right now, but we're certainly making the reactor pressure vessel for GE and we're doing a number of other components for different small module reactor suppliers. So I think you just see that building over the years. It's my expectation that we'll have additional orders for the X300 this year. It's also my expectation that we'll have orders for the AP1000 this year. We'll see. Those aren't in hand yet, but I think we're starting to see the commercial side of our business build very nicely, and we have forecasted pretty aggressive organic growth there, but most of that is in hand. And so I think you can see small modular reactors ramping up, you know, starting now, essentially. Microreactors, of course, we've had a good program going for seven years now, but we now have the Janus program as sort of a follow-on program to Pele. And we're in a good competitive position for that, and we're hoping for a good outcome. And so you can see that building over the next few years. And then medical has been growing at this sort of 20% compounding clip. So, you know, we're seeing generally very good demand in all of our markets, and we expect it to build, you know, at various timings over the years.

REX JEVEDIN President and CEO

Thank you. Thank you.

DESIREE Operator

Next question comes from the line of Jeff Grampy with Northland Securities. Your line is open.

JEFF GRAMPY Analyst, Northland Securities

Good evening. Thanks for the time. Rex, to go back on the AP1000 comments that you had in your prepared remarks, can you give us a sense for BWXT's revenue content for a project you're competing on or any generalities there, just to kind of get a sense of materiality for some of these projects for the company? Thanks.

REX JEVEDIN President and CEO

Yeah, I think we've characterized it historically for the large reactors, I think, on a can-do new bill, which was not your question, but on that one, it's $500 million to a billion, perhaps, particularly in Canadian with the Conentrix contribution, maybe pushing to the high end of that. I'd say on an AP1000, depending on the components that we win, steam generators and whatnot, you could think of in the hundreds of millions, maybe in the low hundreds. But that's a bit of guesswork, right? We don't know what content we're going to win yet, bidding on a lot of different things. And we'll just have to wait and see how that comes out.

JEFF GRAMPY Analyst, Northland Securities

Understood. That's helpful. Thank you. And for my follow-up on some of the recent government contracts, you guys alluded to having some lower margins at the front end. I'm just wondering structurally, as these ramp over time, should we expect just kind of a kind of linear progression in margin over time as these mature, or is it kind of more of a stair-step function as milestones are reached? Just kind of wondering to level set expectations as those contracts kind of roll through the results here. Yeah.

MIKE FITZGERALD Senior Vice President and CFO

> So, you know, I would say that the contracts are structured slightly differently. You know, we are in the first phase of negotiating under the Defense Fuels Program. And then for HBDU, that's a longer kind of upfront negotiated program. I think in both cases, what we would typically do along with our processes is kind of evaluate, you know, the overall margin performance. And usually as we meet various milestones and reduce risk under those programs, we is when we would incrementally adjust margin. So those programs, we feel like we have a great opportunity to perform well, but it's a little early days. And we talked a little bit about how we're doing some infrastructure build-out, and so we have some lower margin components associated with those initial costs. But we do expect that as we start to get into full ramp of processing of the materials and production, that ultimately we'll have an opportunity to outperform.

REX JEVEDIN President and CEO

> Got it. That's helpful. That's helpful. Okay. Thank you guys for your time.

DESIREE Operator

> Next question comes from the line of Chad Derzheimer with William Lear. Your line is open.

CHAD DERZHEIMER Analyst, William Lear

Hey, thanks for taking my question, and congrats on the quarter. Rex, I guess first question, Pentagon just released the $29.2 billion spending, added a new sub... I'm just wondering how that compares to your expectations. Was that ahead, in line, behind your expectations? Any surprises as you look through the budget allocation? Then I have a follow-up.

REX JEVEDIN President and CEO

> Yeah, sure, Jed. So that appropriation of funding really doesn't influence our business, right? our programs are funded through different lines. And so it's, it was a neutral for us. We are still on the shipbuilding schedule at two Virginias a year, one Columbia year and, and boards more or less on five-year intervals. So it was, it was, we were indifferent to that news.

CHAD DERZHEIMER Analyst, William Lear

Got it. Thank you. And then, um, maybe for both you and Mike, as you think about capital allocation on the commercial, uh, side of things, um, You're in the can-dos in Canada and abroad. You've just gotten into AP1000, and you're in a variety of SMRs between GE, Rolls-Royce, and also some of the new players. And so I'm just curious, with that level of visibility, are you... How are you thinking about the business? Are you seeing, is it sort of, you know, growth at a steady pace, but in different regions that you're able to support? Or do you see any particular technology that's, you know, advancing at a faster pace? How are you thinking about, you know, adding resources to supply those markets?

REX JEVEDIN President and CEO

> Yeah, I'd say when you look at our capacity in Cambridge, Jed, it's, you know, it's not, you could see a couple of years into the future where we start to look capacity constrained. And so we're looking for assets in particular in the U.S. We've got things in the, you know, interesting targets in the acquisition pipeline. And I mentioned explicitly on the call the thought of building a plant at Mount Vernon. So We think we need U.S. capacity first and soonest, and

we put a high emphasis on that. I think the second interesting opportunity is around Europe. There's an appetite for small modular reactors there, and I think whether we would invest there I think depends somewhat on localization demands. But, yeah, we need capacity. We need it pretty soon because we see a lot of demand coming in the future, and we'll start in the U.S. with it.

MIKE FITZGERALD Senior Vice President and CFO

Yeah, Jeff, the only thing I could add is I would just say that in addition to expanding footprint, you know, we are also investing in technologies to drive throughput within the factory. So it's not just a, you know, let's go get as much footprint as we can because we're trying to drive throughput through our operational excellence initiatives, which really supports the overall workforce as well. So that's an important aspect as we look to capital deployment and where we want to spend it. money on additional machinery and technology.

REX JEVEDIN President and CEO

Great. Thank you.

UNKNOWN PARTICIPANT Q&A Participant

Next question comes from the line of Sam Strasaker with Rui Securities.

DESIREE Operator

Your line is open.

SAM STRASAKER Analyst, Rui Securities

Hi. Good evening, guys. I'm from Mike Ciamulli. I appreciate you taking the questions. I think just to start kind of a two-part building off of the conversation around SMRs and microreactors, I was curious if you guys could just put a little more detail on kind of where you are with the NASA and military microreactor programs, and then also with the growth that you're seeing in small modular reactors, how are you guys looking at the triso fuel market overall in terms of where it's at now and potential opportunities moving forward? Thanks.

REX JEVEDIN President and CEO

Yeah, sure. A few questions embedded there. On microreactors, we're in the middle of Pele. We deliver that to Idaho National Laboratory next year. You know, we announced the delivery of the fuel for that reactor at the end of last year. So we're proceeding apace, and that reactor will start undergoing testing in the 27-28 timeframe. Think of that as a precursor to the Janus program, which is in procurement right now. They're soliciting offers from various technology providers, including us, We see that one as a super interesting opportunity. On the NASA side, we're still doing some work on nuclear thermal propulsion, although it's not within the context of the Draco program. We still have some level of effort with NASA. I think the bigger opportunity in the space market is around fission surface power. It looks like NASA intends to procure a fission reactor for a lunar base, and certainly we have got the right credentials to compete for that. In terms of triso fuel, I think there are two interesting things going on here. One is demand on the government side that's related to programs like Janus, where the microreactor technologies generally are calling for triso fuel or designed around triso fuel. But I think there's also an interesting commercial play there, and we're certainly evaluating that. You know, either, you know, subgrid or below-grid capacity power output and, you know, and certainly remote applications for high-density power. So a very interesting opportunity around TRISO, and we're looking pretty hard at whether we make an investment there, a larger-scale investment.

REX JEVEDIN President and CEO

Great. I'll leave it at that for now. Thank you. Thank you.

DESIREE Operator

> And again, if you would like to ask a question, press star, then the number 1 on your telephone keypad. Our next question comes from the line of Jen Engelbrecht with Beard. Your line is open.

JEN ENGELBRECHT Analyst, Beard Research

Good afternoon, Rex and Mike. Progressing a strong quarter. I think just want to return to the AP1000 and the can-do market. As we think about the AP1000, that owner's engineer contract you won, and just in terms of components, Do you consider your bid on sort of the component work to be more competitive if it's a North American project that gets announced versus something in Europe? Because we know on AP1000 in Poland, they've announced sort of the steam generator supplier on that one. And I know you guys didn't bid on that, but how should we think about as a new AP1000 contract or project gets announced, do you see that you have a sort of a better probability on which continent it's on? Or just how do we think about that?

REX JEVEDIN President and CEO

> I don't think we're thinking of it that way, JF. The owner's engineer contract with Bulgaria was a unique opportunity for us to team up with a component of Ontario Power Generation. So we have their imprimatur and we have our deep engineering capability, which is augmented by kinetics. So that was a very particular opportunity there. I think we're sort of geographic agnostic when it comes to component supply. We hope to be able to compete reasonably well in all these markets. But I would also say that, you know, as the market really starts to warm up and we start to see real capacity constraint, I think we'll be more competitive and we'll have more pricing power. So I'm optimistic about all of it.

JEN ENGELBRECHT Analyst, Beard Research

Perfect. Thanks. And then, thanks, Rick. Just a quick follow-up on the naval nuclear business. You know, A lot of shipbuilding and reconciliation funding for shipbuilding. And then you just got the news from Australia. They're going to invest, I think, close to $3 billion in their own shipyard. And in terms of second source opportunities, can you just sort of, how are you thinking about long-term, you know, all this new funding that's going on? It seems that there's really a lot of attention being placed into sort of reducing the bottlenecks. But how does that set you up, you know, beyond 2030 for long-term growth? in that segment?

REX JEVEDIN President and CEO

> Yeah, maybe a little hard to say. I mean, right now we're sort of building our guidance and our internal forecast around the shipbuilding plan. We do have some business on the AUKUS side related to production capacity that's giving us a bit of growth here in 2026. And, of course, there's sort of the wild card of South Korea out there. We would hope to be involved in, say, fuel manufacturing at least, if not reactor cores. So there are interesting possibilities out there. I would say that if you think about reconciliation and just a broader defense budget, I think you'd see more opportunities around micro-reactors, fuel, and other such things that are sort of not prescriptively mapped into the shipbuilding schedule. So a bit of a TBD for us, but certainly exciting on the national security side of our business.

REX JEVEDIN President and CEO

> Perfect. Thanks, Quint. Thanks for taking my questions, Rex. Appreciate it. Thank you. Thank you.

DESIREE Operator

> Next question comes from the line of Andrew Madrid with BTIG. Your line is open.

ANDREW MADRID Analyst, BTIG

Hey, this is Ned Morgan on for Andre. I just want to ask and get the latest on the Canadian Competition Bureau's investigation into the Connectrix acquisition. It's been pretty quiet on our front. No news on that one. All right. Then a follow-up. Is there any update on when we could see approval of Tech 99?

REX JEVEDIN President and CEO

Yeah, not much new there. I've said the last couple of quarters that we are in sort of the grueling last mile of that around some issues with product quality, filtration, concentration, things that we've been working on. We do have new leadership in that medical business, and the person of Jason Van Wark is showing a lot of strong leadership in that business. And Jason has some compelling new ideas around our commercial product strategy, including Tech 99, early days on that, but we'll see how that forms up. So I find myself encouraged about that business broadly. We have not submitted to the FDA yet. And I have, frankly, imperfect clarity around that because of these product quality issues that we're having to sort through. I will say that we did not contemplate Tech 99 revenue in 2026 in our guidance that we just published. And so it's not in our numbers. it would be an upside for us if it did occur.

REX JEVEDIN President and CEO

Okay. Thank you very much. Thank you.

DESIREE Operator

There are no further questions at this time. I would like to turn the call back over to Chase Jacobson for closing remarks.

CHASE JACOBSON Vice President of Investor Relations

Yeah. Thanks, Desiree. Thanks, everybody, for joining us today. We look forward to speaking with many of you and seeing you at upcoming investor events or on calls. If you have any questions, please feel free to reach out to me at investors at BWSP.com. Have a great night. Thank you.

DESIREE Operator

Ladies and gentlemen, that concludes today's call. Thank you all for joining in. You may now disconnect.